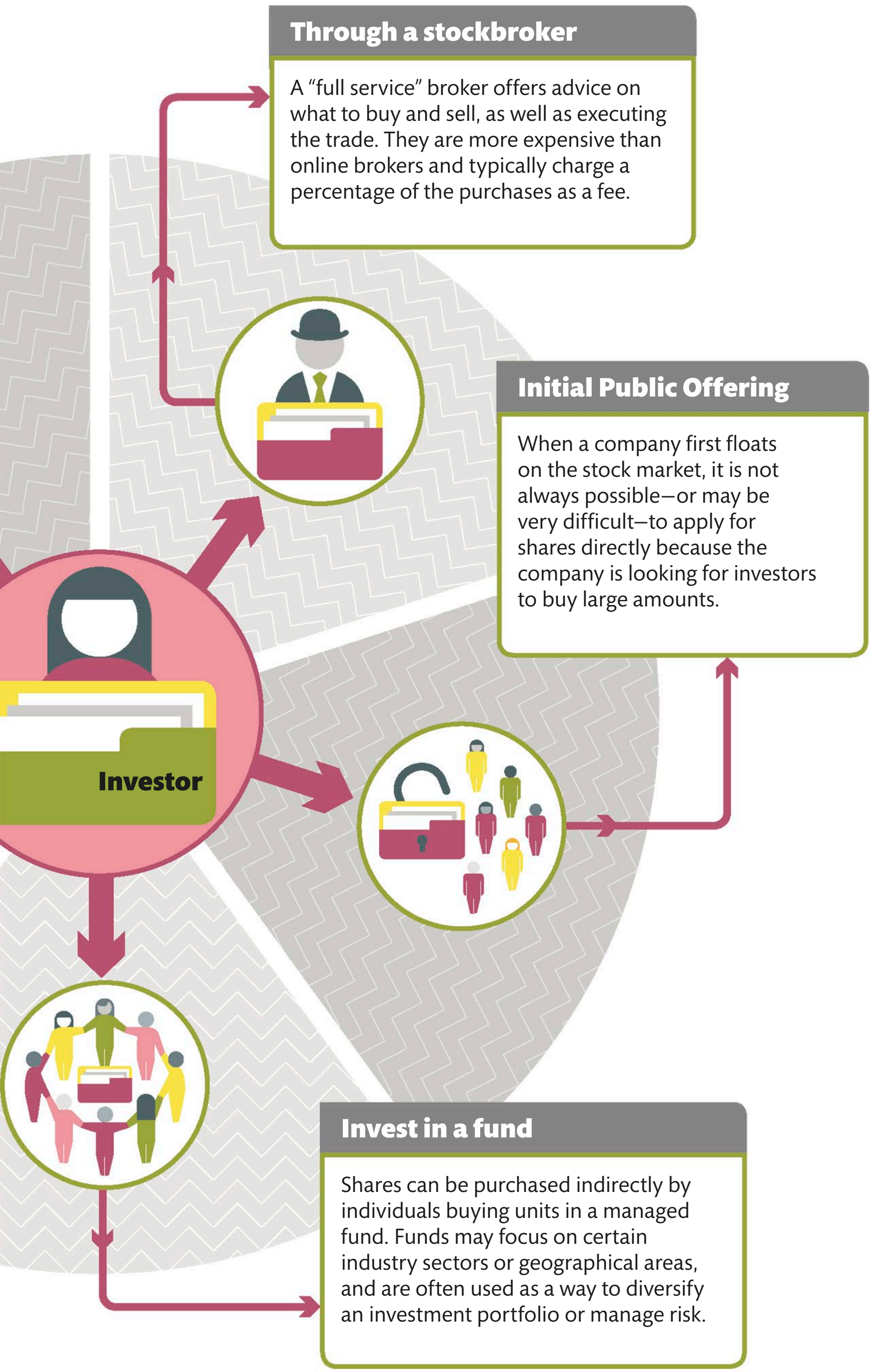

Through a stockbroker

A "full service" broker offers advice on what to buy and sell, as well as executing the trade. They are more expensive than online brokers and typically charge a percentage of the purchases as a fee.

Initial Public Offering

When a company first floats on the stock market, it is not always possible—or may be very difficult—to apply for shares directly because the company is looking for investors to buy large amounts.

Invest in a fund

Shares can be purchased indirectly by individuals buying units in a managed fund. Funds may focus on certain industry sectors or geographical areas, and are often used as a way to diversify an investment portfolio or manage risk.

WHY SHARE PRICES MATTER

- **Investors focusing** on capital growth will only make a profit if the share price of their stock increases. They may also lose money if the share price falls.
- **A falling share price** can impact the reputation of a company and its management, and also on its ability to borrow money.
- **Public traded companies** with a falling share price can become takeover targets for wealthy shareholders or rival companies.
- **The value of pension** savings pots linked to the stock market will fall if the underlying share prices fall. This is bad news for those nearing retirement.
- **When stock markets** in a country fall, foreign investors often remove money from that country altogether, reducing the value of its currency.

1987 marked the beginning of the longest US bull market to date, lasting 13 years